

Large overlap. The pipe has a large price overlap. This is clear in the figure because the left side of the pipe is just slightly taller than the right side. As a selection guideline, what you do not want to see is a large left side and a short right side. However, uneven spike bottoms is a good thing (see [Table 49.11](#)), so take your pick.

Volume. Volume for each pipe spike is usually above average but need not be. Do not exclude a pipe simply because it does not obey the typical volume characteristics.

Obvious pipe. The pipe must be unusual enough to catch your eye. Typically, pipes form at the end of a decline and mark the turning point, such as that shown in [Figures 49.1](#) and [49.2](#).

If you look closely at [Figure 49.2](#), you should be able to see another pipe. I have made it easy for you by marking it as point A. The pipe is not quite as well defined as the other pipe, and the price appreciation is certainly not as spectacular. Price rises from the right pipe low of 15.38 to a high of 18.13 before price resumes its downward trend.

Breakout direction, confirmation. The twin bottom pattern confirms as a pipe bottom only when price closes above the highest high in the pattern. Do not invest in a pipe without confirmation.

Focus on Failures

Pipe bottoms have only one type of failure: the 5% failure. A 5% failure happens when price does not move higher by more than 5% before reversing trend. [Figure 49.3](#) shows two such failures.

The two pipes in April and May 1993 show good definition. They look like pipes, but they do not act like pipes. After the pipes complete, price should move up smartly, but it heads lower instead.